

GOVERNING DOCUMENT · CONFIDENTIAL

Investment Policy Statement

Short-term investment of operating and reserve cash for Cobalt Inc. and consolidated subsidiaries. Preservation of capital, liquidity, then yield — in that order.

VERSION
4.2

APPROVED BY BOARD
2026-01-15

OWNER
Group Treasury

NEXT REVIEW
2027-01-15

1 Objectives

The portfolio shall be managed to meet three objectives, in strict priority order. No action that advances a lower-priority objective at the expense of a higher one is permitted.

- **Preservation of capital.** Avoid loss of principal. Credit and interest-rate risk are minimized before any yield consideration.
- **Liquidity.** Maintain sufficient same-day and next-day liquidity to fund all forecast operating disbursements with a minimum operating buffer of **\$250M** available across the group at all times.
- **Yield.** Subject to the above, maximize risk-adjusted return relative to the 3-month US Treasury bill benchmark.

2 Eligible investments

Instrument	Constraints	Max maturity
Government / Treasury money market funds	AAAm rated; 2a-7 compliant	N/A (daily)
US Treasury bills and notes	Direct US government obligations	397 days
Commercial paper	A-1 / P-1 only; single-name CP limited	270 days
Bank certificates of deposit	Issued by A-rated banks on the approved list	397 days
Repurchase agreements (repo)	Collateralized by US Treasuries, ≥102%	30 days

Any instrument not explicitly listed above is prohibited. Equities, derivatives for speculation, structured notes, and non-USD investments outside an approved hedging program are **not** eligible.

3 Credit quality

- Minimum short-term rating of **A-1 / P-1** for all corporate and bank instruments.
- Money market funds must carry a **AAAm** principal-stability rating.
- A minimum of **60%** of the total portfolio shall be held in US government or US Treasury obligations at all times.
- A downgrade below the minimum requires divestiture within five business days, with written notice to the CFO.

4 Concentration limits

Exposure	Limit	Basis
Single issuer (ex-US government)	30%	Total portfolio
Single corporate commercial paper name	5%	Total portfolio
Single money market fund	30%	Total portfolio
Repo with a single counterparty	15%	Total portfolio

5 Maturity

- Weighted-average maturity (WAM) of the total portfolio shall not exceed **60 days**.
- No single instrument shall mature later than **397 days** from settlement.
- At least 25% of the portfolio shall mature or be redeemable within 7 days.

6 Counterparty list & approval process

Investments may only be transacted with counterparties on the approved list maintained by the Treasurer. Additions require: (a) a minimum A-1/P-1 short-term rating, (b) Risk & FX Manager credit review, and (c) written CFO approval. The list is reviewed quarterly.

Counterparty	Role	Status
JPMorgan	MMF, T-bills, repo	Approved
Citibank	MMF, CD	Approved
Brex Treasury	Government MMF	Approved
HSBC	CD, CP	Approved
BNP Paribas	Repo, CP	Approved

7 Reporting & compliance

- **Monthly** portfolio and compliance report to the CFO — holdings, WAM, concentration, yield, and any exceptions.
- **Quarterly** summary to the Board of Directors with attestation of policy compliance.
- Any breach of a limit in this policy is reported to the CFO within one business day and remediated within five.